



March 27, 2025

Senator Bill Cunningham, Sub-Chair
Subcommittee on AI and Social Media
Senate Executive Committee
309 J Capitol Building
Springfield, IL 62706

Senator Cristina Castro, Sub-Vice Chair
Subcommittee on AI and Social Media
Senate Executive Committee
121 C Capitol Building
Springfield, IL 62706

Senator Robert Peters
Stratton Office Building, 401 S. Spring
Section C, Office H
Springfield, IL 62706

RE: Ad Trade Letter in Opposition to Illinois SB 2255

Dear Subcommittee Chair Cunningham, Subcommittee Vice Chair Castro, and Senator Peters:

On behalf of the advertising industry, we respectfully oppose SB 2255 in its current form, and we offer this letter to express our non-exhaustive list of concerns with this legislation.¹ We and the companies we represent, many of whom do substantial business in Illinois, strongly believe consumers deserve meaningful privacy protections supported by reasonable government policies. However, SB 2255 would significantly restrict businesses from setting prices based on the broadly defined terms of “behaviors” and “personal characteristics” of individuals, thereby chilling the provision of discounts and loyalty programs to Illinoisans.² In addition, SB 2255 would stifle innovation, increase costs for consumers, and fail to enhance consumer protections in a meaningful way. The Senate Executive Committee’s AI and Social Media Subcommittee (“Subcommittee”) should decline to advance the bill any further in the legislative process.

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product (“GDP”) in 2020.³ By one estimate, over 262,955 jobs in Illinois are related to the ad-subsidized Internet.⁴ Our group has more than a decade’s worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the Subcommittee further on the points we discuss in this letter.

¹ Illinois SB 2255 (2025-2026 Reg. Sess.), located [here](#) (hereinafter, “SB 2255”).

² *Id.* at §§ 5, 10(a).

³ John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located [here](#).

⁴ *Id.* at 125-26.

I. SB 2255 would significantly limit discounts and special pricing offers that benefit Illinoisans and the economy.

SB 2255 would prohibit the use of “personal characteristics” like address, name, phone number and “parenthood status” and “behaviors,” which would include web browsing and purchase history as part of an automated decision system to set individualized prices charged to a consumer for goods or services.⁵ The bill fails to acknowledge the value of everyday occurrences like discounts to Illinoisans and that personalized pricing strategies enhance consumer experiences. For example, when a business uses personal data such as IP addresses or web browsing history with software to infer consumer preferences and offers a 20% discount pop-up during the consumer’s visit to the brand’s website, this is a legitimate and consumer-friendly use of data. This interaction would be illegal if SB 2255 becomes law. Tailored discounts offered to specific consumers at the right time and in the right place reflect a business’s ability to understand its customer base and helps drive economic activity. By outlawing such practices, SB 2255 would deprive consumers of personalized deals and discounts they value.

SB 2255 also overreaches by broadly prohibiting the use of automated decision systems to offer discounts in ways that bring value to both consumers and businesses. These discounts often are not based solely on the cost of providing goods or services to a specific consumer, but rather broad characteristics about the consumer that could make a discount more appealing to them. For instance, a movie theater may use its loyalty program to identify movie club members that are college students and offer reduced price tickets and concession discounts to that population. Using data and technology to inform discounting often leads to exclusive deals, enabling consumers to save money on items they were already planning to buy. SB 2255 would only allow discounted pricing to be offered if the different prices to different consumers are based on “the cost of providing the good or service to the different consumers” and would prohibit these types of deals and discounts which would deprive consumers of personalized deals and discounts they value.⁶

II. SB 2255 would have a negative impact on loyalty programs and incentives that many consumers value and rely on.

SB 2255 would undermine loyalty programs and other incentives that many Illinoisans rely on for savings and convenience. Grocery store loyalty programs and associated mobile apps, which use purchase history data to offer tailored deals, coupons, and other savings, would no longer be allowed to provide the same benefits to Illinoisians if SB 2255 becomes law. For instance, a grocer would be prohibited from offering a coupon for diapers or formula to regular shoppers based on previous purchase history at that store for similar products. In these times of economic uncertainty, families who depend on these types of programs for budgeting would be negatively impacted by such a dramatic change in loyalty program practices. Similarly, whole industries, such as the automobile industry, would enter a new era where extremely popular car buyback programs could face restrictions. For instance, dealerships would no longer be able to use information known about a vehicle’s age to offer a buyback deal to the vehicle owner, beneficial to both the consumer and the

⁵ SB 2255 § 10(a).

⁶ *Id.*

dealer. SB 2255 would reduce the ability of businesses to interact meaningfully with their customers, curbing personalization, stifling options for consumer engagement, and ultimately harming families across Illinois by increasing their cost of living.

III. A private right of action is an inappropriate form of enforcement for privacy legislation.

As presently drafted, SB 2255 allows an individual to bring a lawsuit for an alleged violation of the bill.⁷ SB 2255 should be updated to clarify that it does not create a private right of action under any law. We strongly believe private rights of action should have no place in privacy legislation. Instead, enforcement should be vested with the Attorney General (“AG”) alone because such an enforcement structure would lead to stronger outcomes for individuals in Illinois while better enabling businesses to allocate resources to developing processes, procedures, and plans to facilitate compliance with new data privacy requirements. AG enforcement, instead of a private right of action, is in the best interests of individuals and businesses alike.

The private right of action in SB 2255 would create a complex and flawed compliance system without tangible privacy benefits for individuals. Allowing private actions would flood Illinois’s courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual individual harm.⁸ Private right of action provisions are completely divorced from any connection to actual individual harm and provide individuals little by way of protection from detrimental data practices.

Additionally, a private right of action would have a chilling effect on the state’s economy by creating the threat of steep penalties for companies that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions and related potential penalties for violations represent an overly punitive scheme that do not effectively address privacy concerns or deter undesired business conduct. They expose businesses to extraordinary and potentially enterprise-threatening costs for technical violations of law rather than drive systemic and helpful changes to business practices. A private right of action would also encumber businesses’ attempts to innovate by threatening companies with expensive litigation costs, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced the claims are without merit.⁹

⁷ SB 2255 § 25.

⁸ A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121 private actions under the Telephone Consumer Protection Act (“TCPA”) showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, *TCPA Litigation Sprawl* at 2, 4, 11-15 (Aug. 2017), located [here](#).

⁹ For instance, in the early 2000s, private actions under California’s Unfair Competition Law (“UCL”) “launched an unending attack on businesses all over the state.” American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It’s Time to Restore Sanity to the Litigation* at 8 (2003), located [here](#). Consumers brought suits against



Beyond the staggering cost to Illinois businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm individuals. We therefore encourage the Subcommittee to clarify that SB 2255 does not create a private right of action under any law and vests enforcement authority with the AG alone.

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Thank you in advance for your consideration of this letter. We ask you to refrain from advancing SB 2255 further in the legislative process, as its provisions would harm both businesses and consumers alike. For consumers, the bill would not lead to more robust consumer protections and could inadvertently lead to higher prices and fewer choices. The bill would also create barriers for businesses looking to provide access to incentives and deals on their goods and services.

Sincerely,

Christopher Oswald
EVP for Law, Ethics & Govt. Relations
Association of National Advertisers
202-296-1883

Alison Pepper
EVP, Government Relations & Sustainability
American Association of Advertising Agencies, 4As
202-355-4564

Michael Hahn
EVP & General Counsel
Interactive Advertising Bureau
212-380-4700

Clark Rector
Executive VP-Government Affairs
American Advertising Federation
202-898-0089

Lou Mastria
CEO
Digital Advertising Alliance
347-770-0322

CC: Members of the Senate Executive Committee

Mike Signorelli, Venable LLP
Allie Monticollo, Venable LLP
Matthew Stern, Venable LLP

homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*